EXPERT TAKE FOLLOW THE MONEY

Three Questions About China's Hidden Foreign Exchange Assets

A trillion-dollar gap in foreign exchange purchases raises questions about where China's foreign currency assets are held.



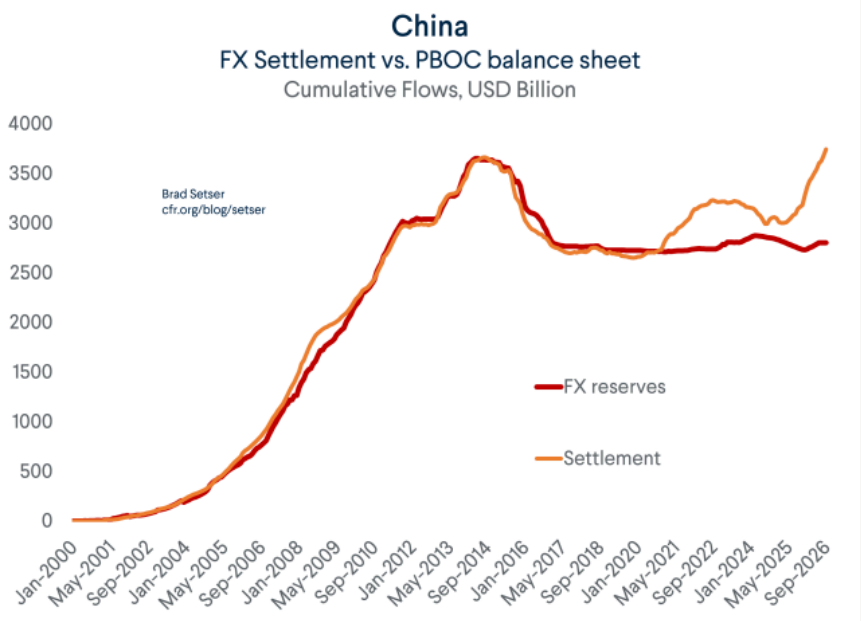
Carlos Rawlins/Reuters

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Brad W. Setser CFR EXPERT
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The PBOC argues—unpersuasively, I think—that it doesn't have any hidden foreign exchange reserves. I would reframe that as hidden foreign currency assets, as foreign currency lent out (or swapped out) with domestic financial institutions is a classic way of masking reserves.

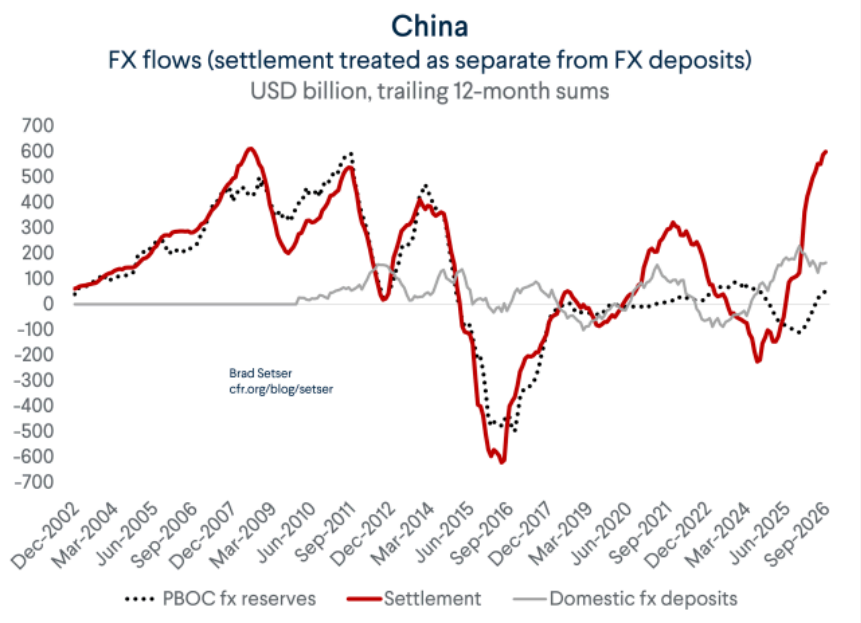


Many in Asia—and some in the IMF—are inclined to believe the PBOC. Fair enough, it is hard to challenge an institution as large and powerful (in some ways) as the PBOC

But to convince, the PBOC really needs to provide answers to three questions.

1. What explains the current gap between foreign exchange settlement and the PBOC's reserves?

Settlement is the purchase of foreign exchange in the market by the PBOC and the state banks. It technically implies taking an open foreign currency position, as the foreign exchange is being bought with renminbi.



Historically, it correlated with changes in the PBOC's balance sheet.

And some gaps before 2012 can be explained. In late 2005 and 2006, the PBOC did over $100 billion in swaps with the state ba[illegible]ho used the FX to buy

swaps were unwound after the global financial crisis, and actually provided some of the foreign currency that "funded" the China Investment Corporation when it initially scaled up.

And in 2007 and 2008, the PBOC required that the state banks hold FX against their domestic RMB deposits (to keep the FX out of reserves; it was held on deposit at the PBOC and shows up as "other foreign assets" on the PBOC's balance sheet and as "other, other, short-term" in the balance of payments.*

After 2018, though, there are unexplained gaps between the FX bought in settlement and the PBOC's balance sheet (technically cumulative monthly changes to capture the fact that FX is held as its initial CNY purchase price).

There was a net accumulation of FX outside the PBOC's balance sheet in 2020 and 2021, when the CNY was under pressure to appreciate. There are modest sales in 2023 and 2024 when there is depreciation pressure. And there are large purchases in 2025 and the first 9 months of 2026—total purchases in settlement in the last 12 months (spot) are $500 to 600 billion, while the increase in the PBOC's balance sheet is only around $50 billion over the same period.

The gap over time is now $1 trillion. The PBOC needs to be able to answer a simple question: who holds this FX, and who holds the associated FX market risk (given the FX has been purchased with RMB).

The monthly pattern of growth in settlement strongly suggests it is backdoor intervention; there are sales when spot is weak (economically) relative to the fix, and purchases when spot is either at the fix or just stronger than the fix (the strong edge of the band hasn't been used). The pattern of purchases and sales thus looks exactly like that of a central bank maintaining a tight band around a (crawling) peg.



If the PBOC cannot credibly explain this gap, there isn't much more to discuss. The PBOC argues that it hasn't swapped FX with the state banks or put foreign currency on deposit at [redacted]te banks. Fair enough

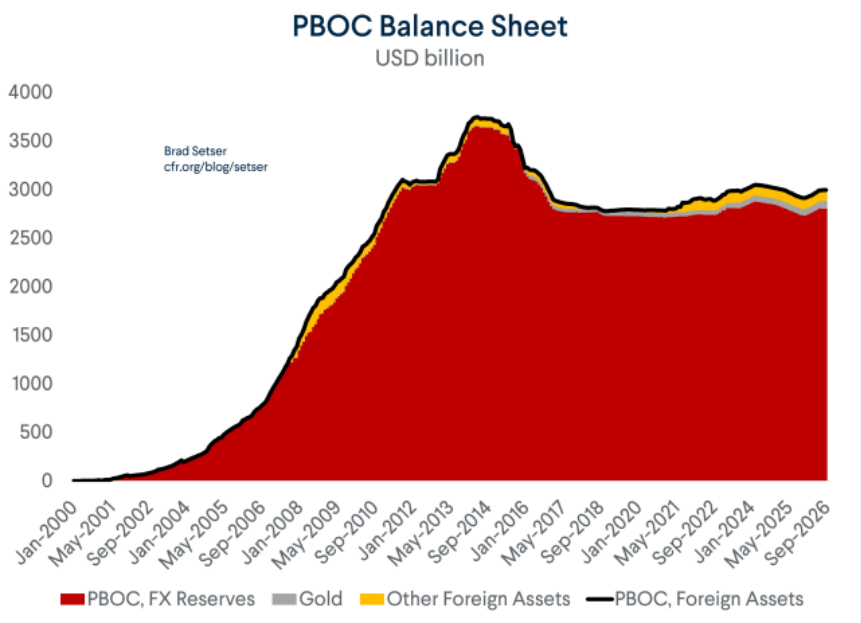
But someone is buying in settlement; the PBOC ought to know who…

2. Missing interest income

There is an obvious tell here—Bloomberg reported back in 2022 that the PBOC transferred $158 billion in accumulated interest income to the Ministry of Finance as part of a special dividend to hold the budget deficit down. Again, fair enough. But absolutely nothing changed in the FX reserves held on the PBOC's balance sheet or in the balance of payments.



That highlights a broader issue. Since the end of 2016, the PBOC's balance sheet FX hasn't really changed.



Peer institutions generally have an upward slope to their reserves as a result of "gains from reserve management" or "reinvestment of interest income." ** The Central Bank of China (Taipei) and Japan's Ministry of Finance are good examples.

The interest on ~$3 trillion in reserves should be around $100 billion a year. A bit less during the "low-for-long" era before the pandemic, when SAFE wasn't getting much income out of its euro portfolio. A bit more now, when U.S. short-term rates are well above 3 percent and SAFE's legacy agencies carry yields of 5 or 6 percent. $100 billion over 10 years is real money —roughly a trillion dollars.

If SAFE has steadily been selling its interest income, it should say so (the fact that BOP reserves have often diverged from the PBOC balance sheet suggests a more complex story)

Moreover, if SAFE has been transferring the FX to one of China's many sovereign wealth funds (including those controlled by SAFE) or the policy banks, it should say so.

But SAFE cannot say what you see is what we really have if it cannot explain how it handles the interest on its now $3.5 trillion in reserves.

3. **The accounting for the PBOC's entrusted loans and other foreign currency claims on domestic financial institutions, notably the policy banks**

FX handed over to a sovereign wealth fund to manage doesn't appear in reserves. It isn't a liquid reserve asset.

But it should appear elsewhere in the balance of payments as either portfolio debt or portfolio equity.

And FX handed over to the policy banks through mechanisms such as entrusted loans (or a simple deposit or swap) doesn't count as a foreign reserve—the foreign currency claim is on a domestic financial institution, and that isn't considered a "foreign" asset.

There is no doubt that the PBOC has domestic claims on China's financial institutions. The use of "entrusted" loans to fund the policy banks in 2010 was reported by Caixin and the *Financial Times*.

$95 billion in entrusted loans were converted into equity in the CDB and China Exim back in 2015 (giving SAFE majority equity stakes in both institutions through its Buttonwood investment vehicle).

And the SAFE's 2020 annual report contained a ten-year progress report on the "diversified use" of China's FX (basically, the non-reserve use) which indicated that SAFE continued to provide entrusted loans to small, medium, and large Chinese financial institutions.

Now perhaps these instruments have been unwound —the China Development Corporation (per Stephen Green, a friend) has reduced its foreign currency balance sheet over the last few years. But that should lead the foreign currency to flow back to SAFE absent another use—and that increase in FX isn't showing up in the PBOC's reserves.

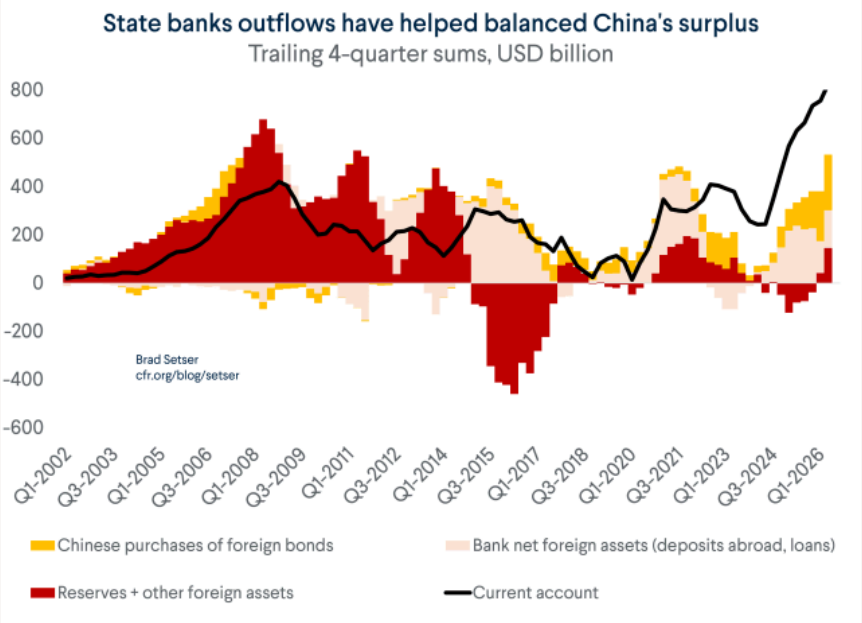
In other words, SAFE should provide a transparent accounting of the FX that has been bought but transferred to other financial institutions and any ongoing foreign currency exposure to the domestic banking system (including the policy banks).

These aren't big asks. The settlement gap is big and obvious, interest income is a known issue, and SAFE itself has reported its use of entrusted loans in the past. There is no issue [redacted] the past use of swaps

either. A substantial share of the banks' foreign currency assets are funded domestically. It should be possible for SAFE to explain the role, if any, it has played in this funding.

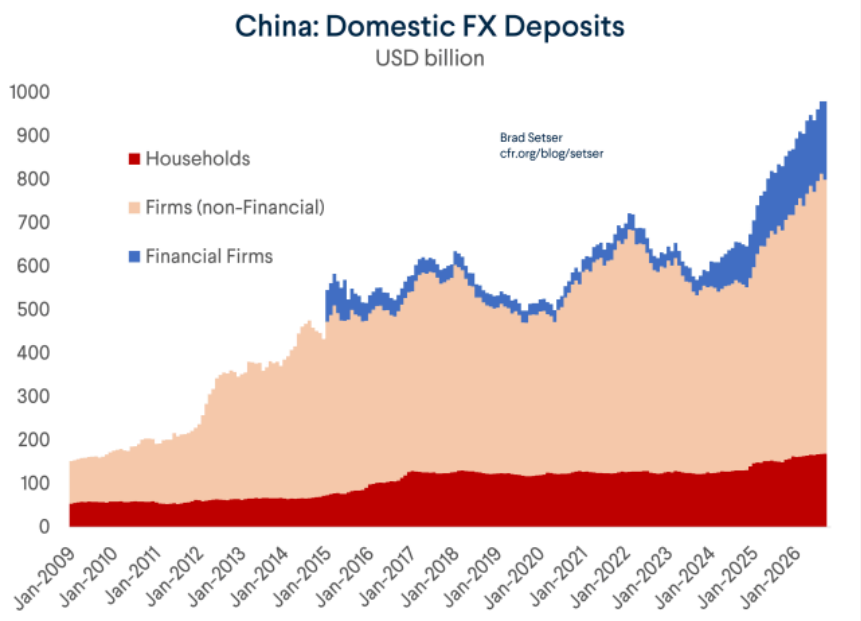
There is, of course, another issue around China's balance of payments: the growth in foreign currency external assets funded out of domestic foreign currency deposits.

China argues that the growing foreign assets of its state banks are simply a natural part of a growing domestic financial system. But there is more to the story.



Onshore FX deposits have tended to rise when economics say they should not, and fall when the economics say they should (offshore FX deposits behave as expected). In [redacted] and 2021, FX deposits

rose even when there was more yield on RMB deposits.

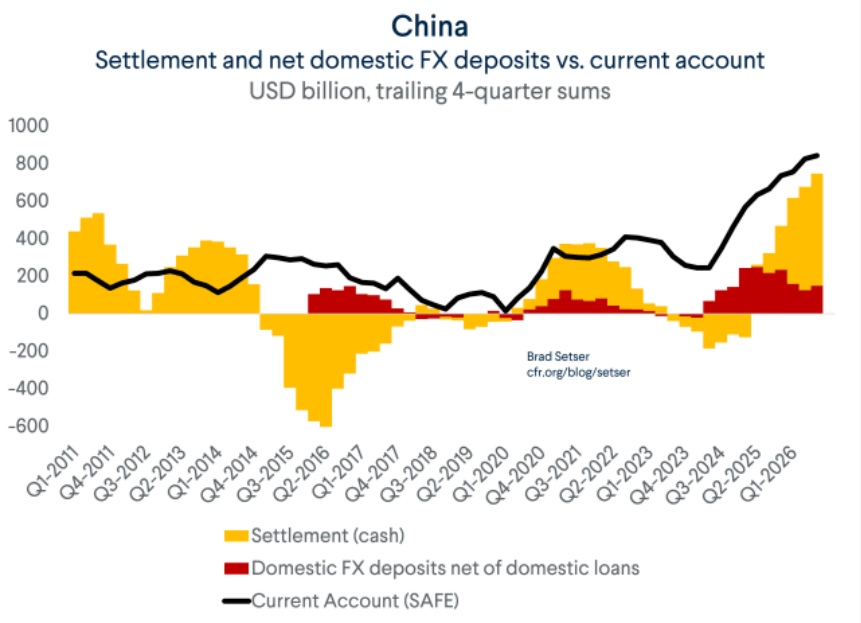


And RMB deposits have continued to rise in 2025 and 2026 even with the RMB's appreciation offsetting the higher dollar deposit rate. This isn't an accident: banks just raised the interest rate that they pay on dollar deposits to encourage exporters NOT to convert their export proceeds into RMB and thus take pressure off the PBOC (per Reuters).

In other words, the pattern of the banks' foreign currency asset growth suggests that they are offsetting appreciation pressure by bidding for FX (or receiving it from other state actors), not that FX flows into the banks during periods when onshore residents worry about depreciation.



Right now, the "settlement gap" is the most pressing issue. FX deposit growth in excess of FX loan growth can explain FX outflows of around $150 billion in the four quarters to Q3. The FX outflows implied by settlement reached $600 billion over the last four quarters. Together they account for the bulk of China's reported $825 billion plus (I estimate a Q4 2025 to Q3 2026 surplus of around $900 billion) in outflows implied by the reported current account.***



It goes without saying that this matters because the weak RMB is the central reason for China's massive export outperformance since 2023—and that export outperformance has continued in 2026.****



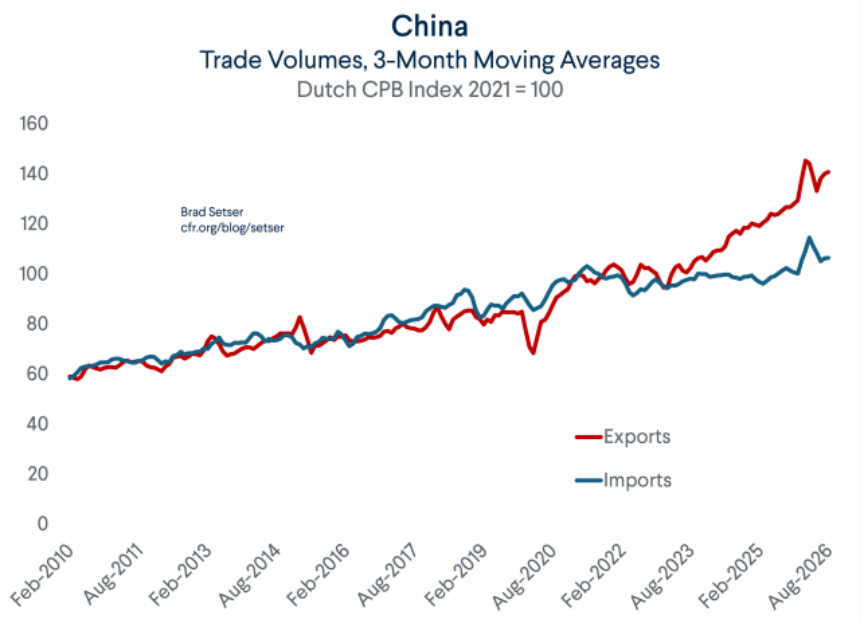
* I have been doing thi[redacted]g time; I actually do know most of the historical quirks in China's balance

of payments data.

** The MoF can count a portion of its unrepatriated gains from accumulated interest on its large reserves against the budget deficit, but since the actual interest is held abroad, it still needs to borrow domestically against those reserves (domestic JGB issuance and foreign reserves both go up).

*** My estimate of a larger "true" current account comes from moving gold imports over to the financial account, and from an assumption that undercounting of the reinvested earnings of funds held offshore explains the obvious problem in the investment income account.

**** The spike in imports in Q1 wasn't entirely real. China was slow to adjust its import price index for the rise in semiconductor/chip prices. This inflated both import and export volumes in Q1. The rise in gold imports this year also registers in the import volume series—though the rise is best understood as "importing" a financial asset.



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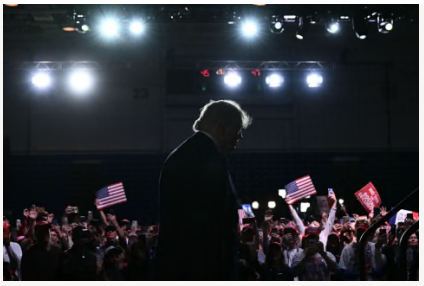
CHINA TRADE



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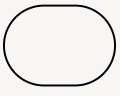
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EXPERT TAKE FOLLOW THE MONEY

Europe's Deal Limiting Chinese Auto Imports

Europe's auto deal with China is a good start. But containing China's export boom will require a much broader response.



European Commissioner for Trade and Economic Security Maros Sefcovic speaks at a press briefing at the EU Delegation to China in Beijing, China October 9, 2026. Florence Lo/Reuters

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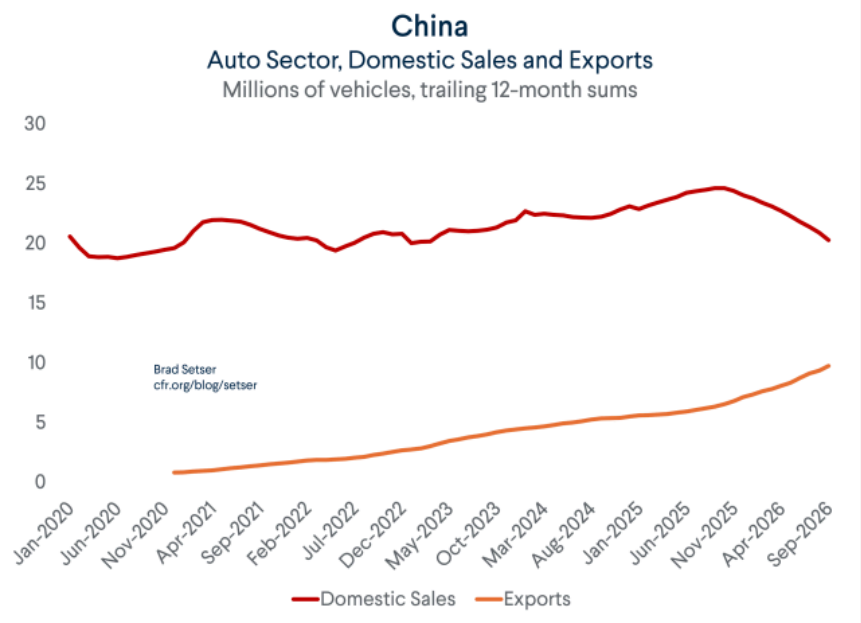
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The year-over-year increase in Chinese automobile exports to all markets is currently about 3.5 million cars.

Over ten years, that is 35 million cars. The global market excluding China is only around 60 million cars. Japan raised its auto exports by about 3.5 million cars in the 1970s—but that was over a decade, not one year. And right now the U.S. and Indian markets (around 20 million cars) are effectively closed to Chinese production. The 2026 jump in exports is an incredible.

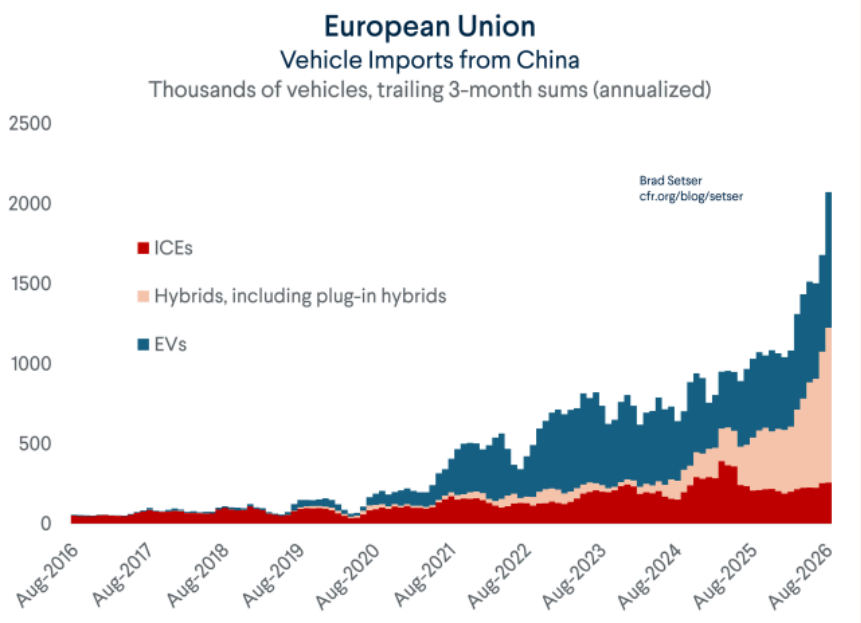
China's domestic market, though, is down 20 percent this year—that works out to a decline of about 5 million cars. The Wall Street Journal estimates that domestic sales will fall to around 19 million cars this year, less than a third of the production capacity of China's auto industry.

So even though China's exports are increasing at an unprecedented pace, China's domestic auto sector isn't really booming; production is essentially flat, and intense domestic comp[illegible] is destroying the



Europe's new auto deal with China should be understood in this context.

The deal limits China's exports of hybrids (including plug-in hybrids) to Europe to around 350,000 cars. That is above the 300,000 hybrids that China exported to Europe in 2025, but well below the (gulp) 800,000 annualized pace for hybrids in the last three months of (European) data. Total imports, annualized, were running at an incredible 2 million a year pace thanks to strong battery electric imports in September.



China appears to have concluded that it prefers a guaranteed market for a limited number of cars (and more or less guaranteed profits) to the risk of a prohibitive tariff that would cut off all its exports.

And Europe preferred a negotiated deal to the risk of retaliation and a slowdown in licensing rare earth and magnet exports.

The Commission also thinks of this as a bit of a model—more on that later.

I certainly understand the logic of the deal. Something needed to be done. China's export of hybrids to Europe were up an insane 200 percent year-over-year in the last 3 months of data, which led to a 75 percent increase for all cars. One more year of 75 percent growth would bring China's exports to

around 3 million cars; in two years, close to 6 million, and in three years, 10 million—or most of the market.

But Europe still is a long way from a coherent trade and industrial policy with respect to autos, let alone a coherent economic policy towards overall trade with China.

After this deal, as I understand it:

- Hybrid imports are capped at 350,000, down from a projected 800,000 in 2026—and then rising to 370,000 and 390,000 in subsequent years.
- Battery electric vehicles face a tariff from 25 percent (Telsa, 10 percent base + 15 percent) to 45 percent (10 percent base plus 35 percent). BYD's total tariff is at 27 percent, which isn't prohibitive. Even with these tariffs, battery electric imports will total around 600,000 this year, up from 500,000 last year.
- Diesel and gasoline (ICE) cars face a tariff of 10 percent. Europe is importing around 200,000 of these a year (including a significant number from Chinese-owned MG).

There are no special tariffs on imported parts or imported batteries, which matters for the growing number of Chinese factories in Europe. So long as tariffs are low and the renminbi is undervalued,

Chinese content of their "transplant" factories (ask Thailand).

There is currently no unified European policy on inward investment that requires joint ventures or technology transfer either, only a lot of wishful thinking.**

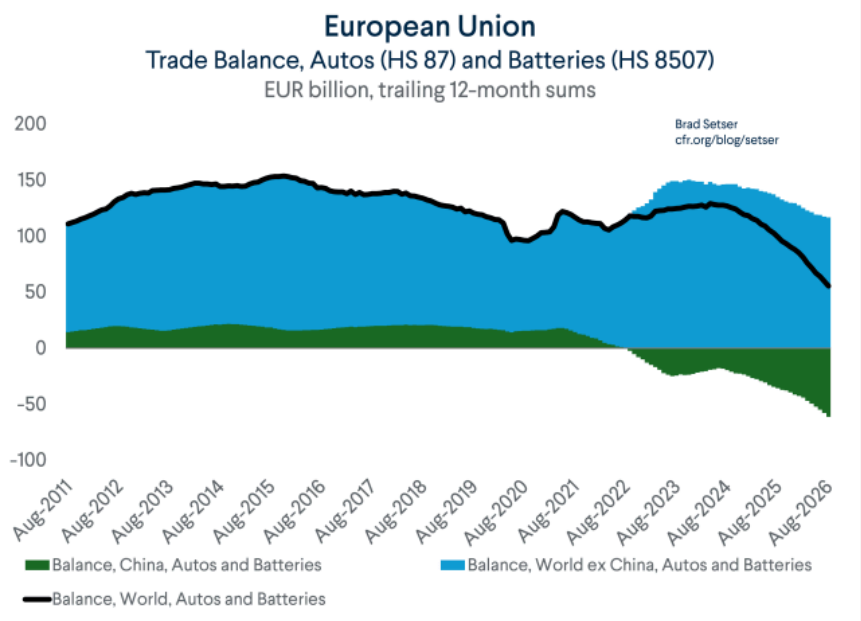
Sum it up, and it is a market where Chinese exports are constrained by a hodge-podge of different trade defense tools, and there is no standard policy for ensuring that Chinese assembly operations use European parts rather than import Chinese kits. The existing operations, which are just starting to scale up, don't draw on a European supply chain. They likely preserve a few assembly jobs at the expense of the broader automotive ecosystem.

A coherent European (or national) industrial policy for the automotive and battery sectors is thus still a work in progress.

The safeguard on hybrids and the resulting tariff rate quota only stops the bleeding.

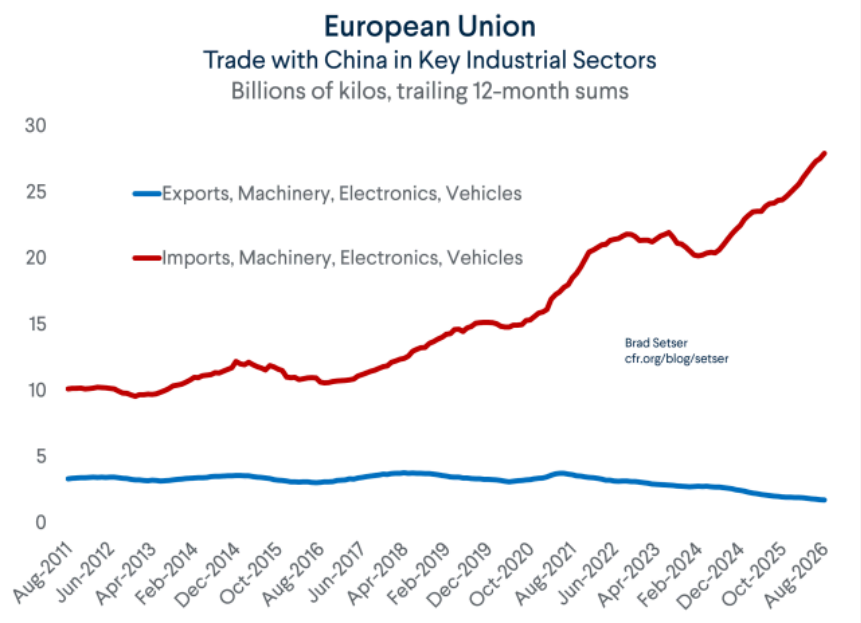
And make no mistake, Europe's position in the global automotive sector is slipping. Europe still runs an overall surplus in auto trade, but that surplus is falling fast if trade in batteries is added to automotive trade (there isn't a split between batteries used for energy

storage and batteries used by cars in the EU data right now, at least not that I have found).

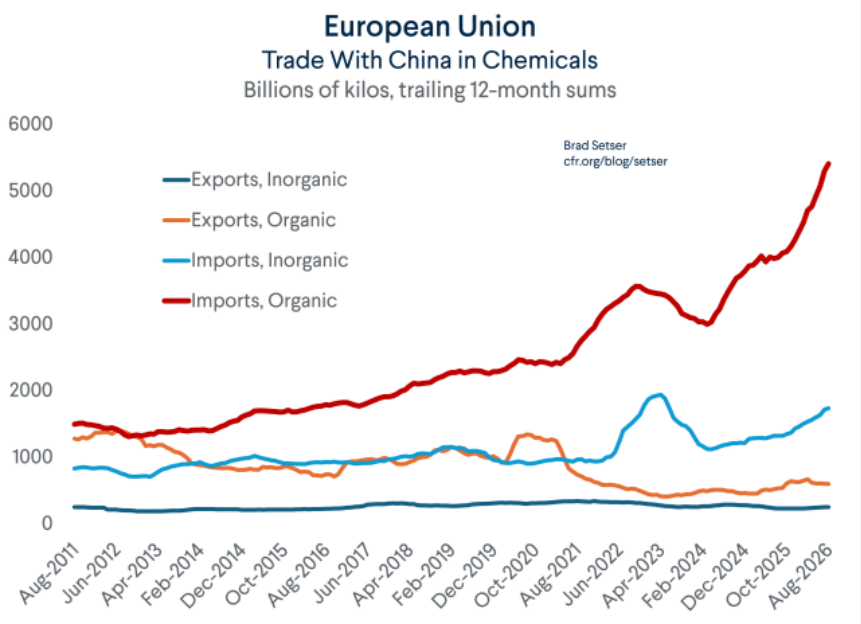


Europe's broader trade policy to China is similarly a work in progress.

The surge in imports of hybrid cars was particularly pronounced, but it is by no means the only such surge. The balance in industrial machinery has eroded significantly. Consider the following chart, which shows imports and exports of machinery, electronics and vehicles (HS 84, 85, and 87) by weight.



The balance in chemicals, measured by weight to abstract from price changes, shows the same trend.



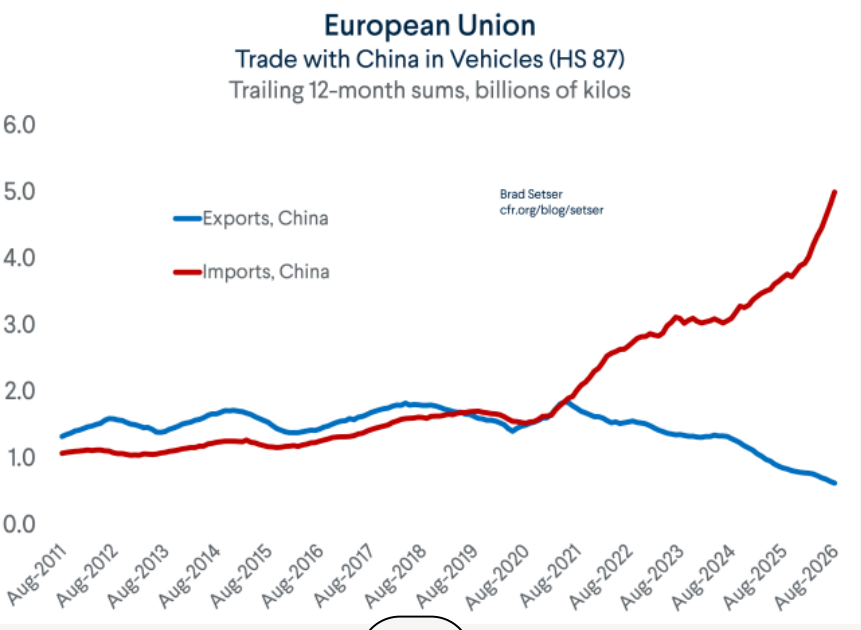
Europe doesn't have an across-the-board tool for applying tariffs against China like the U.S. section 301 statute.

But that isn't necessarily an immediate constraint, as there are plenty of solid safeguard cases thanks to the current surge in European imports from China.

But if each safeguard needs to include a negotiated tariff-rate quota that gives China enough guaranteed market access (and Chinese firms enough guaranteed profits) to ensure trade peace, Europe needs to get moving with negotiation in other sectors.

Chemicals and machinery are more diverse sectors than cars and thus aren't as amenable to the same high-level Šefčovič-Wang negotiations the led to the most recent deal.

This critique isn't meant as criticism. Europe needed to act on cars. Look at a chart of automotive trade in kilos.



It's just that it also needs to act in other sectors: auto parts, batteries (though that is complicated), chemicals, and some categories of industrial machinery. The scale of China's export boom and the fact that in most sectors there are no limits to China's ability to scale up is a real problem.***



And Europe cannot wait for China to conclude that it would rather grow on the basis of internal, rather than external, demand.

I disagree with the IMF's former top brass on this. A China that grows on the back of a 1.5 pp net export contribution for another couple of years will deindustrialize much of the world. China's trading partners cannot step aside and do nothing until China figures out how to escape deflation using its own demand. Xi appears more than happy to continue with his curre cy mix and gamble that

the world will continue to absorb China's ever growing export surplus.

Pascal Lamy, Nicolas Köhler-Suzuki, and Victor Luiz do Prado of the Jacques Delors Institute recognize the need for a more systemic response—as do Jean-Pierre Landau and Sébastien Jean, who have done an excellent job explaining how China's micro- and macro-industrial policies fit together into a coherent, self-reinforcing whole.

The proposals in the Lamy et al. paper overlap heavily with the Commission's current approach to China.

The authors envision a two-pronged approach: first, negotiating with China to seek agreement on tariff-rate quotas that effectively limit the EU's imports from China; and second, developing a broad yet targeted tariff-based instrument to address structural imbalances should negotiations fail. The latter would give Europe a credible threat should China refuse to agree to the proposed safeguards.

My own view: don't let the perfect be the enemy of the good.

The EU has shied away from developing its own 301 tool out of concern about preserving a "rules-based system." I still think a European 301 would allow a more fulsome response, but understand that European isn't as willi[illegible]e United States to use

tools that at least appear to be outside those authorized by the WTO. In reality the EU no longer really wants to trade with China on the same (MFN) terms applied to other WTO members. That mirrors the current view of the United States. But the EU is willing to go through more procedural hoops to get to a similar result.****

But I also recognize that, absent policy adjustment in China—notably a stronger currency that allows for fair market competition—the scope of safeguards and managed trade will progressively expand.

* One sign: Stellantis is resuming Jeep production in China, but primarily for export rather than the domestic market.

** There is a lot of (in my view) somewhat confused analysis of Chinese investment that works off the analogy provided by either foreign investment in China's auto sector or Japanese investment in the U.S. and Europe in the 1980s. These are relevant examples of course, but asserting that Chinese investment will result in a similar outcome when the underlying economics differ is a big logical jump. Japanese firms had incentives to localize their parts production in the United States from the then-strong yen as well as from the risk of protection. Foreign firms operating in China had to do JVs until recently and had incentives to localize from China[illegible]icant tariff on auto

parts and China's lower cost structure (in part because of a weak RMB). Tesla's Shanghai incentives and tax deal included strong localization incentives, and there were additional incentives from Tesla's desire to qualify for the lists the governed access to China's consumer EV subsidies. That is why something like 90 percent of Tesla parts, including its batteries, are now made in China. Chinese investors in Europe have no similar incentives to localize right now, yet many assume that the results will be the same. That, to me, is naïve. Since the underlying economics differ (Europe's cost basis is much higher than existing production in China) getting Chinese firms to do more than final assembly in Europe will take stronger policy tools than were required to get foreign firms to localize parts production in China. Europe's Industrial Accelerator Act would be a step in the right direction, but more is likely needed. Thailand provides a useful cautionary example.

*** China can make over 60 million cars, according to recent reporting from the *Wall Street Journal*. The domestic market this year will be under 20 million cars (down from something like 24 million cars last year). Even with exports of 10 million, there is ~30 million cars worth of unused auto production capacity (roughly double European demand). And China is still investing at a pace that is consistent with adding close to 5 million of EV production capacity a year. Chines[illegible], who don't make any money on domestic sales, are strongly incentivized to

export. The world has never encountered such elastic supply.



**** The more different the legal basis for the European and U.S. response—and the more policy differences (TRQs vs. a flat tariff, for example) the harder it would be to ever develop a harmonized policy approach. But with President Trump, a harmonized policy isn't even a U.S. goal.

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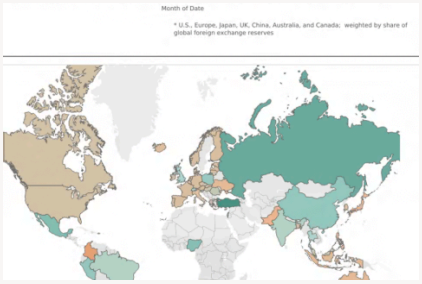
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EXPERT TAKE FOLLOW THE MONEY

What's the Renminbi Got to Do With it?

A closer look at the impact of China's currency on China's export growth.



Sean Yong/Reuters

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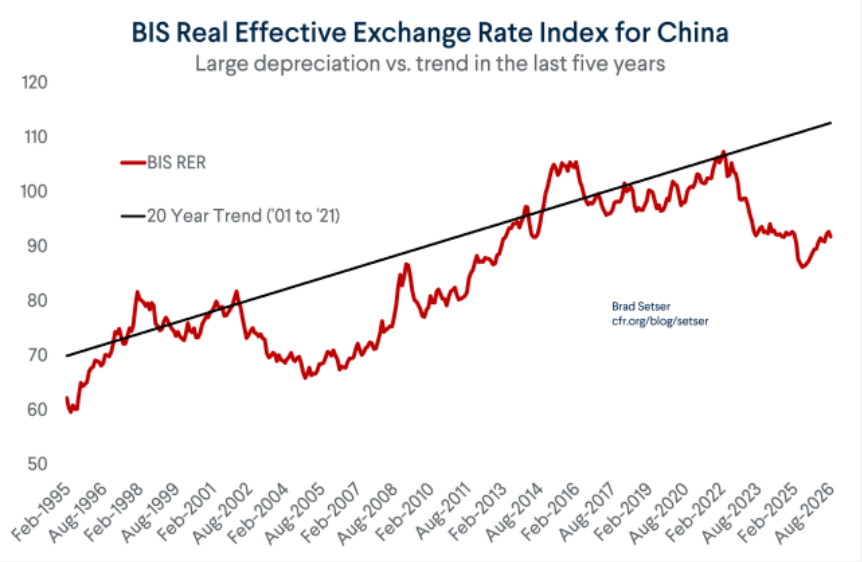
There is an argument—made in the recent Geneva Report and by various former IMF officials—that China's current export surge is the simple consequence of the housing downturn and the resulting weakness in Chinese internal demand.*

The weakness in the RMB in this story is entirely incidental to the increase in exports, which is, more or less, a mechanical response to weak internal demand.

Cannot sell excavators at home? Export them.

Built more modern car capacity than your internal market supports? Export that too…

The fall in the nominal RMB over the course of 2022 and the first half of 2023 in nominal and read terms was simply a function of domestic macroeconomic weakness, and a growing rate differential. It wasn't an active policy choice by China's central bank.



Now, some might note that China's currency doesn't always move with rate differentials. The RMB didn't consistently get pulled up when Chinese rates were higher than U.S. rates (2002-2020 generally speaking), and while it did fall when rate differentials moved against the RMB in 2022 and 2023, it then stabilized and has even appreciated modestly since the middle of last year. That appreciation hasn't been big enough to correct the deep undervaluation of the RMB, but it came at a time when the PBOC policy rate (the reverse repo rate) was well below the U.S. policy rate.

China doesn't have an open financial account. As a result, equilibrium in the foreign exchange market is thus driven far more by exporter conversion and current account flows than by rate differentials and financial flows.** That, together with China's ongoing management of the exchange rate and a trade surplus that can generate signi[illegible]nflows, means that the

value of the RMB is much more of a policy variable under the independent control of the Chinese authorities than a simple byproduct of monetary and fiscal policies.

The modern IMF is reluctant to accept this conclusion. Its surveillance has generally ignored China's currency management (even if that management is relatively obvious; see the data on FX settlement) and its recent comprehensive assessment of China's economy completely ignored the balance of payments and exchange rate management.

But it is pretty obvious to the market, even if the PBOC, rather absurdly, insists that "market forces play a decisive role in determining the RMB exchange rate."

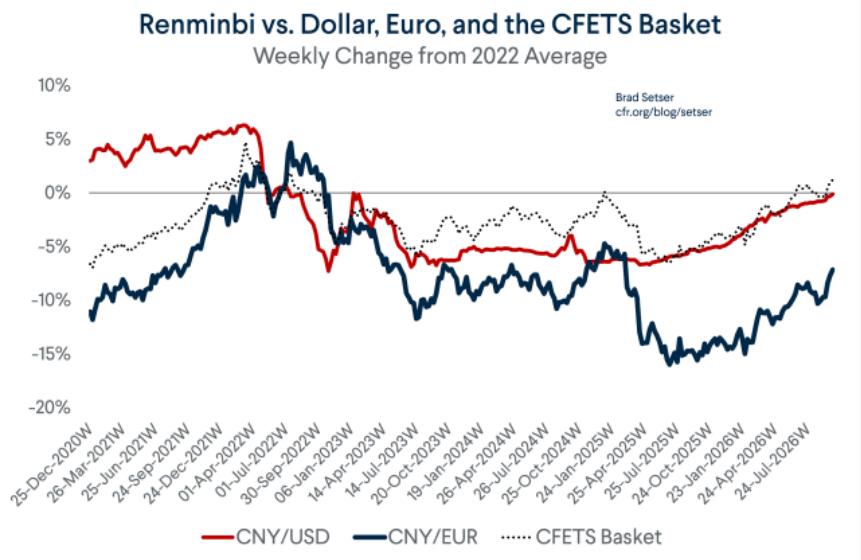
I doubt the PBOC can win this argument. I agree with Mark Sobel:

"The renminbi is still heavily managed and the authorities have acted to slow appreciation. The paper states that the PBoC phased out 'regular' foreign exchange intervention in 2017. But it has many means at its disposal to achieve the same effect through extensive capital controls, administrative guidance, signalling at the fix and deploying state-owned commercial banks. These means are heavily used. Thus, the word 'regular' must be taken with a pinch of salt. The com[illegible] to Japan, which

intervenes occasionally, is spurious – the yen largely floats freely in integrated global markets. The same cannot be said for the renminbi."

In reality, the PBOC's daily fix now plays the decisive role in the currency's path, and the market is often a bet on how the PBOC's management of the yuan will evolve.

That is clear from the lack of volatility in the yuan's rate against the dollar. The yuan's move down against the dollar in 2022 was a controlled 10 percent move, and the appreciation over the last 16 months has been even more controlled crawl.



And the market is clearly massaged with substantial help from the state banks. In fact that the pattern of changes in the monthly FX settlement data looks exactly like the pattern of intervention of a central bank managing its cur round a tight band (the

state banks in practice buy FX to keep the CNY from testing the strong side of the band, so there is an asymmetry in how the CNY is managed)



None of this would matter much if China's economy was small. But that obviously isn't the case. Nor would this matter much if China's exports didn't respond to changes in the RMB's real (and nominal) value. But that is also not the case.

There is abundant evidence that China's exports do respond to moves in the currency. Periods of RMB weakness have consistently been associated with periods of especially rapid Chinese export growth.



Chancellor Merz and President Macron got this right, even if macroeconomic issues haven't yet figured prominently in the EU's dialogue with China.*** As they note in their open letter to the European Commission:

> "An appreciation of undervalued currencies towards a value more in line with fundamentals would help support the rebalancing of trade accounts with the EU in the short and medium term … European policy discussions focused on forging a common understanding of these exchange rate issues and their interaction with global imbalances would be useful."

The best evidence that exports responded to changes in the currency, and not simply to changes in the path of China's internal demand, is the acceleration in China's export growth after the RMB's depreciation over the course of 2022.

This is the killer chart.



Now, you might ask: what of the acceleration in export growth in 2020 and 2021? That was pretty clearly tied to the global increase in goods demand that came with the pandemic and work from home requirements. It was expected to fade when the world economy normalized. But it didn't. By 2023 Chinese export growth again topped global trade growth.

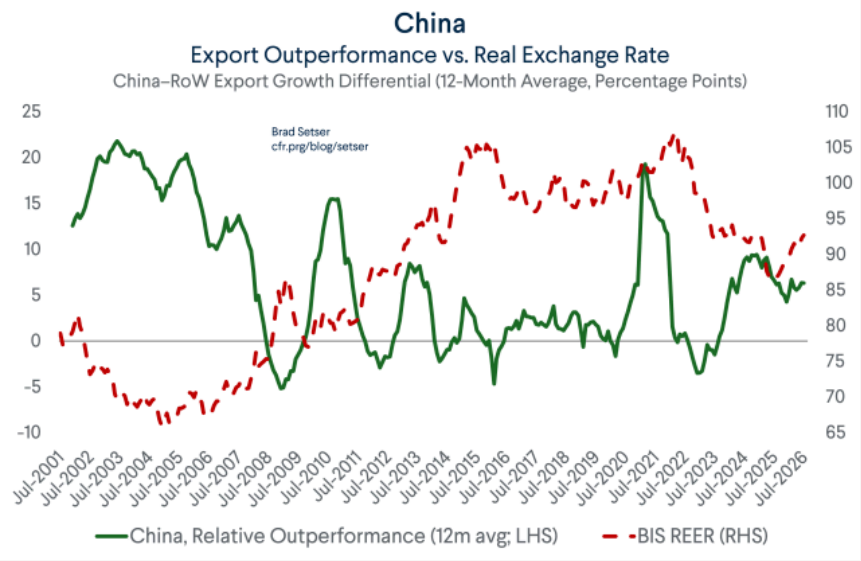


The general expectatio[redacted]the rise in China's goods surplus during Covid would prove to be "transitory

heavily influenced the IMF's work at the time: see the IMF's external sector reports of 2023 and 2024.

I would argue that neglecting the exchange rate was the key reason the IMF's kept forecasting, incorrectly, that China's current account surplus would fall (See this blog with Shahin Vallee). The IMF certainly didn't warn that China's property downturn and the RMB's real depreciation risked a second China shock in its 2022, 2023, or 2024 surveillance reports.

Concretely, the weaker RMB appears to have contributed to a very large outperformance of China's exports relative to global trade. See the following chart



That incidentally also happened after the RMB followed the dollar down in 2003.

In both periods, there [illegible] significant structural

of Chinese industrial policies in the "green" industrial sectors and autos in 2022. In both cses exports were turbocharged when structural shifts that should have resulted in a stronger currency were instead amplified by currency weakness.

No matter. Paul Krugman has noted that a country that is converging technologically with its trade partners should see a trend appreciation in its currency. China got the technological convergence, but not the real appreciation—at least not until this year. And the move since the middle of 2025 has corrected the depreciation of the RMB that occurred when the RMB followed the dollar down on liberation day, but not the structural overvaluation.

Now, there is an argument that exchange rate adjustment is too hot an issue to make it a priority.

The PBOC isn't interested it seems.

And some believe that in the interest of comity and good relations with China, the IMF should mirror the PBOC's views. After all a stronger RMB would slow China's exports and thus slow China's economy at a time when China needs export growth to escape deflation and generate employment. Or so the argument goes. Concerns about "external balance" and the negative global spillovers from China's rising goods surplus should be ignored and the Fund's sole focus should be on poli[illegible]at lead to internal

balance. That provides one rationale for the Fund's ongoing decision to essentially ignore the contentious issue of the PBOC's ongoing exchange rate management.

That argument, however, assumes that China's economy is small and thus China's external surplus can safely be ignored because it isn't a drag on the growth of the IMF's other members.

That clearly isn't true.

And it isn't clear that China is more interested in having a negotiation over its level of basic pension benefits or the size of its fiscal deficit (where the IMF continues to make timid recommendations that would not move the needle—and certainly wouldn't meaningfully reduce China's external surplus) than a discussion over its currency practices.****

Back in the world of fixed but adjustable exchange rates, there was an expectation (not always met to be sure) that surplus countries would allow their currencies to strengthen to bring their economies back into external balance, and that other policy tools would be used to ensure internal balance.

I would argue that China's exchange rate (against both the dollar and the basket) has many similarities to the old world of fixed but adjustable currencies. True, it moves on a co[illegible] path when it moves

between different levels rather than jumping up and down. But the PBOC does frequently target a level, and that targeted level does change over time.

I would further argue that steps like the recent tariff rate quota that will limit China's exports of hybrid cars to Europe to around 350,000 units next year (up from 2025, but well below the 800,000 units of 2026) aren't going to address the underlying imbalance on their own. They can provide a bit of a buffer for specific sectors.

But that buffer, while necessary, won't address the broad-based erosion of manufacturing capacity outside China. This erosion will persist as long as an undervalued RMB sends the entire world a signal to use China as its production base.

The new system of managed trade that is emerging in autos would need to be progressively expanded to an ever-increasing set of sectors if protection is used as a substitute for both domestic reform in China and exchange rate adjustment.

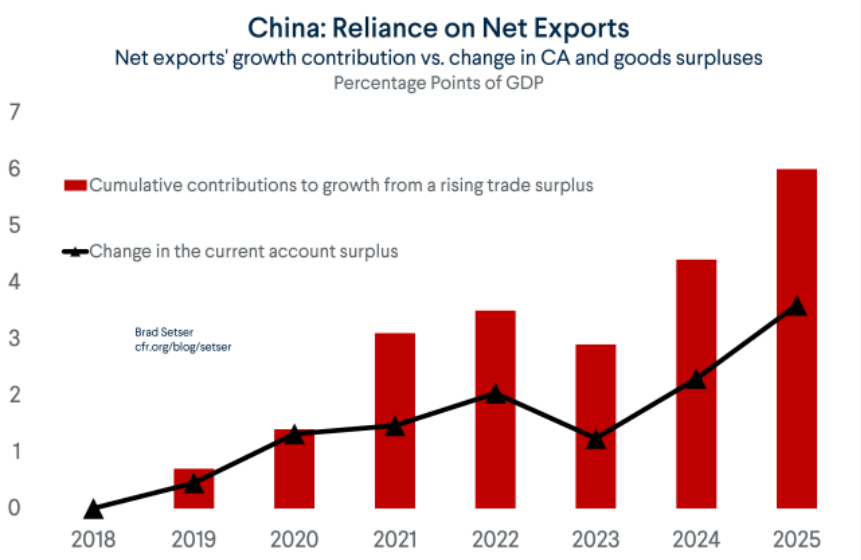
That is now the direction of travel, but it doesn't address the underlying systemic issues.

Incidentally, those who believe the path of internal demand is critical to rebalancing and that exchange rate moves are secondary need to explain how an acceleration in domesti[illegible]and would, on its own,

lead China's external accounts to adjust. One important, stylized fact about China is that domestic demand growth is no longer feeding over to import growth (ex-gold, that is).

Bottom line: China, which needs a 1.5 percentage point contribution from net exports *every year*, is on a collision course with its trading partners without a currency correction that provides the basis for more balanced trade even in the absence of trade restrictions.

And there isn't a realistic path towards balance that doesn't involve a stronger RMB; there aren't, as Paul Krugman once put it, immaculate transfers.



*That downturn shows up in domestic deflationary pressure, and weak job growth/high rates of (at least youth) unemployment [illegible], in other words, isn't in internal balance. I really liked the report from

Kamakshya Trivedi and Hui Shan of Goldman Sachs arguing China needs two tools to hit two targets (internal and external balance).

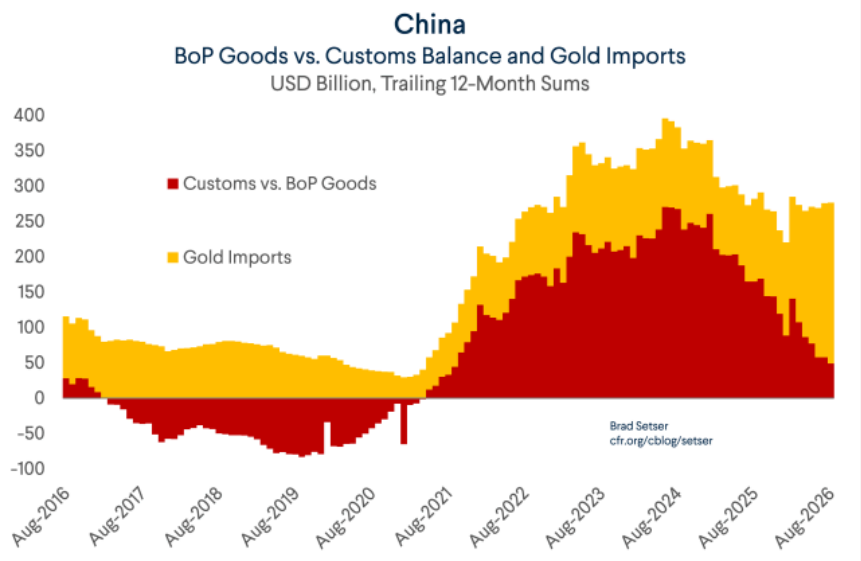
** To be sure, rate differentials matter for exporter conversion—but so does the expected movement of the RMB. The market understands this better than the Fund. The Chen and Suwanapruti (Goldman Sachs) note uses a framework similar to mine to describe the CNY's moves in Q3:

> "In our view, sizeable FX inflows have continued to support RMB appreciation despite unfavorable interest rate differentials, as strong export receipts and increased exporter FX conversions have outweighed portfolio outflows. Our estimated FX conversion ratio rose to 63% in August, compared with around 45% in normal years, likely reflecting a shift in market expectations from RMB depreciation to appreciation."

*** Šefčovič has jurisdiction over trade policy (narrowly defined), but not broader macroeconomic policies. Europe's institutional architecture for exchange rate coordination is not well-developed.

**** The current account surplus is no longer masked to the same extent as in 2023 and 2024, as SAFE has fiddled with its BoP methodology once again (per the Federal Reserve) and the BoP goods surplus is no longer significantly below the customs goods surplus. Of course, there are still problems in the data—the deficit in the investme[illegible]me account most

obviously, but also the recent surge in "customs" gold imports.

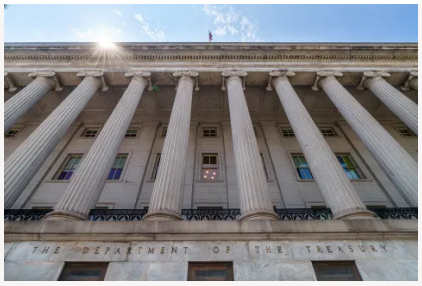


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